



sweetgreen

Final Presentation

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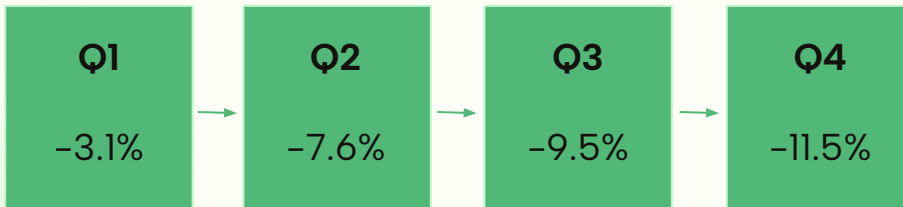
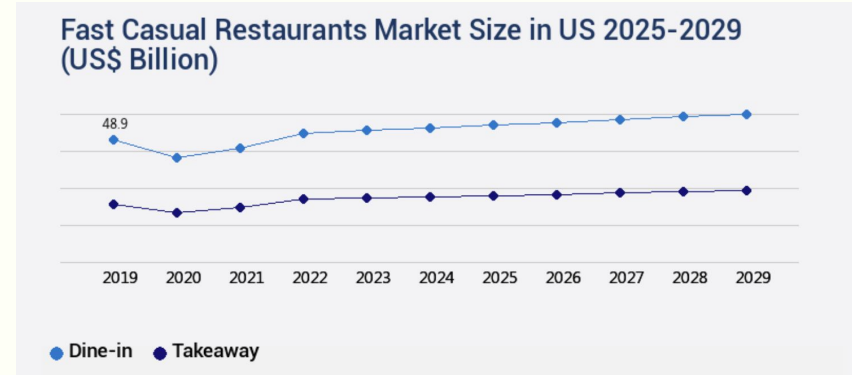
Business Problem / Opportunity

Market Context:

- Fast-casual sector growing +\$84.5B through 2029 (13.7% CAGR)
- CAVA: +1.6% traffic growth while Sweetgreen declines

The Problem

- Same-store sales have been worsening every quarter (FY 2025)



Our Research Question: What is driving Sweetgreen's drop in customer traffic, and which marketing changes would be most effective at increasing visits?

Current Marketing Strategy

Brand Intent:

“Building healthier communities by connecting people to real food”

- Quality without sacrificing convenience
- Premium, sustainability-focused positioning
- Modern, minimalist branding

<https://www.sweetgreen.com/mission>

Focus Group Realities:

- Perceived as healthy ✓
- Branding described as sterile / bleak
- Advertising nearly invisible — no recall of recent ads
- App: only 1 user; none saw value in loyalty program

Sweetgreen's Current Marketing Strategy

Marketing Mix Element	Description	Key Details
Product	Customizable salads, grain bowls, and warm bowls made with seasonal, locally sourced ingredients.	Core menu plus rotating seasonal items (e.g., Harvest Bowl). Limited warm/protein options vs. competitors.
Price	Premium fast-casual pricing averaging \$14–\$18 per entrée.	Perceived as expensive relative to competitors; limited discounting strategy.
Place	250+ U.S. locations concentrated in urban markets and major metros (NYC, Boston, LA, DC).	Digital-first: majority of orders placed via app or third-party delivery (DoorDash, UberEats).
Promotion	Social media–led marketing (Instagram, TikTok), influencer partnerships, and PR-driven brand campaigns.	Sweetpass loyalty program; brand collaborations (e.g., Madhappy). Minimal traditional/TV advertising.
People & Experience	Emphasis on brand identity: clean aesthetics, sustainability messaging, transparent ingredient sourcing.	In-store environment designed around minimalist, 'healthy lifestyle' brand positioning.



Analysis Results

DESCRIPTIVE STATS

Brand Perceptions

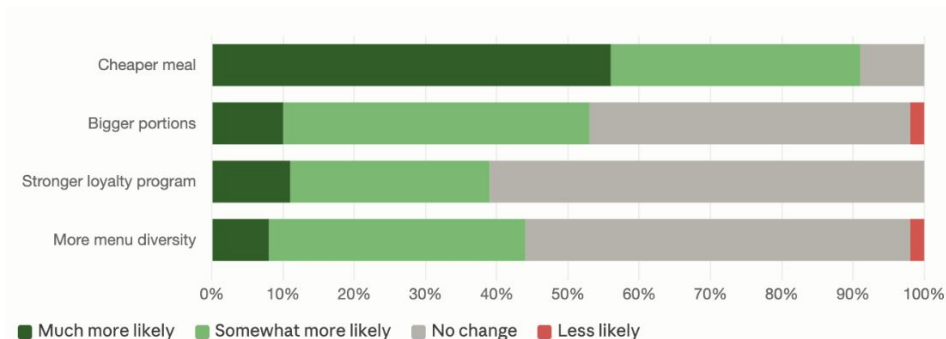
- Highest ratings: health & quality
- Lowest rating: affordability

What Would Drive More Visits?

- 91% more likely if meals were cheaper
- Bigger portions: moderate impact
- Loyalty program / menu variety: little effect

Pricing is the #1 lever for customer behavior.

*If Sweetgreen made the following changes, how would your likelihood of visiting change?
% of respondents — stacked by response*



Analysis Results

DRIVERS OF VISIT FREQUENCY

Perceived Value matters most

Customers who see Sweetgreen as worth the price visit more often

Portion Size perception

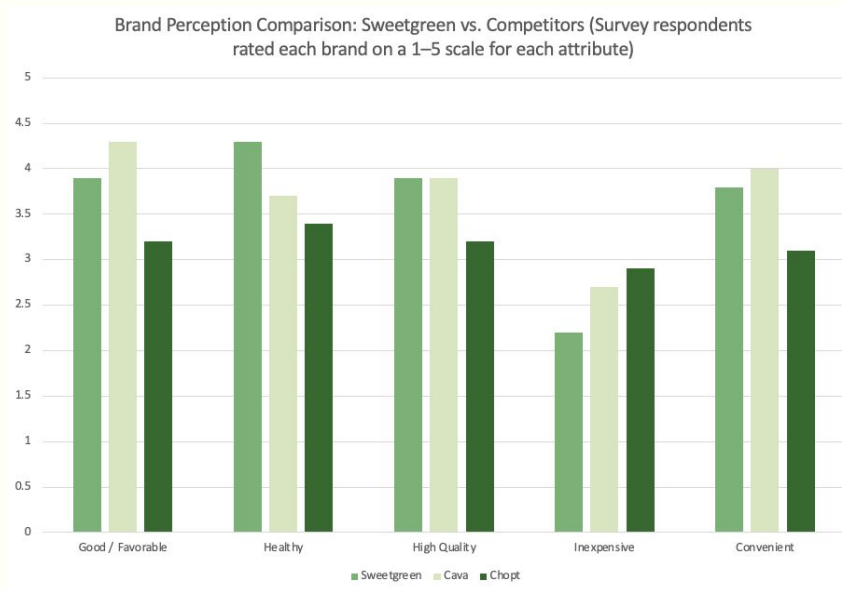
Fair portions → higher visit frequency
Stronger driver than price alone

Brand Perceptions

Quality is the top predictor
“High quality” + “healthy” → more frequent visits

Price Alone isn't Decisive

“Expensive” perception doesn't reduce visits unless it lowers perceived value

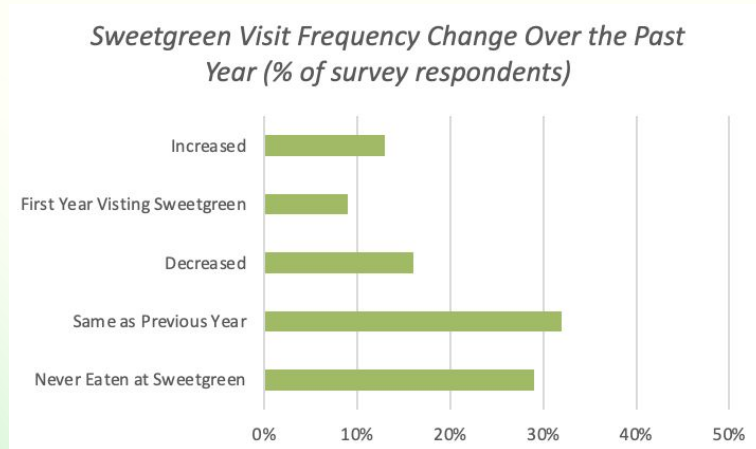


Analysis Results

COMPETITION AND MARKETING

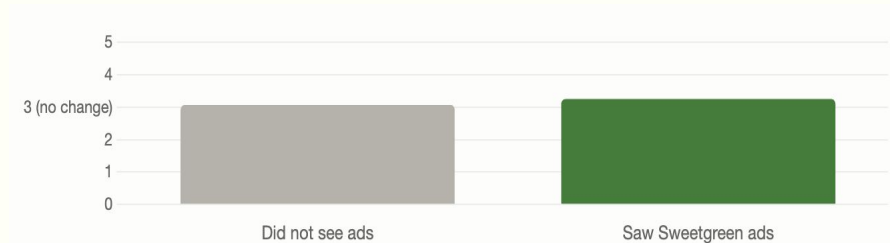
Competition:

- Chopt is the closest substitute
- Perceiving Sweetgreen as more expensive than Chopt reduces visits
- No significant relationship with Chipotle or Cava



Marketing Insights:

- No meaningful difference in visit likelihood by ad exposure (Median intent = 3 for both groups)
- College vs. non-college segments show similar value priorities



Conclusions/Recommendations

INTRODUCE A VALUE COMBO TIER

- 91% of respondents said cheaper meals would make them more likely to visit
- Sweetgreen has no entry-level option — every order starts at \$14+

Launch a \$10–\$12 fixed-price combo tier

- Lowers barrier to trial without undermining premium full menu
- Chopt starts at \$12/bowl — this closes the competitive gap
- Creates a natural loyalty reward: free combo upgrade after visits



Conclusions/Recommendations

IMPROVE PORTION SIZE & CONSISTENCY

Portion fairness is the strongest driver of repeat visits

- Customers react to the relationship between price and post-meal satisfaction
- Variable portion sizes erode trust and make Sweetgreen feel unreliable
- Focus group: "left hungry" and "Cava gives much bigger portions"

Standardize portions across all locations and improve amount of food given in each bowl

→ This signals that customers are not simply reacting to price alone but to the relationship between what they pay and how satisfied they feel afterward

2×

More recent visits among customers who agree portions are fair vs. those who disagree

#1

Strongest single driver of visit frequency — ahead of price perception

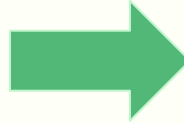
92%

Of respondents rated — large, reliable sample

Conclusions/Recommendations

EVOLVE THE LOYALTY PROGRAM

- App functions as a convenience tool, not a value driver
- Focus group: rewards require too many purchases; want simpler incentives



- Possible early access to Combo Tier for loyal members
- “Secret menu” items
- Re-engagement coupons after inactivity

Shift loyalty from transactional → Value-forward

Rank	Factor	Mean Score (higher = more important)
1	Lower Prices	M = 3.38 (most important)
2	More Discounts	M = 3.04
3	Bigger Portions	M = 2.75
4	More Locations	M = 2.26
5	More Menu Variety	M = 2.20
6	Better Loyalty Program	M = 2.18
7	Faster Pickup	M = 2.01 (least important)

Conclusions/Recommendations

PIVOT MARKETING MESSAGING

Current ads do not appear to influence visit intent.— nearly identical likelihood for those who saw ads vs. those who didn't.

Anchor messaging around value, fullness, and quality

- Emphasize new \$10–\$12 Combo Tier across all channels
- Nutrition-forward influencers to demonstrate portions authentically
- College ambassadors for price-sensitive, protein-focused segment



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THANK YOU!!

Questions?